

- ☐ A quality control tool for defect reduction
-
- ☒ An integrated planning process that synchronizes financial, supply, and demand planning
-
- ☐ A warehouse layout technique for minimizing handling cost
-
- ☐ A method for scheduling machine maintenance

That's correct!

Question 4

1 / 1 pts

If the annual demand for an item is 7,200 units and the EOQ is 400 units, how many orders will be placed per year?

- ☐ 24
- ☐ 20
- ☒ 18
- ☐ 30

Correct!

That's correct!

Question 5

1 / 1 pts

In ABC analysis, Class A items typically represent about:

- ☐ 50 percent of SKUs and 5 percent of dollar usage
- ☐ 80 percent of SKUs and 20 percent of dollar usage
- ☒ 20 percent of SKUs and 80 percent of dollar usage
- ☐ 30 percent of SKUs and 15 percent of dollar usage

Correct!

That's correct!

Question 6

1 / 1 pts

Which of the following is a need for inventory management?

- ☐ Eliminates forecasting error
- ☐ Increases setup time
- ☒ Saves money
- ☐ Reduces product design complexity

Correct!

That's correct!

Question 7

1 / 1 pts

Which of the following is the first step in S&OP?

- ☐ Production and supply planning
- ☒ Gather and manage data
- ☐ Implementation
- ☐ Executive Sales & Operations meeting

Correct!

That's correct!

Question 8

1 / 1 pts

Which of the following is classified as a type of inventory?

- ☐ Customer complaints
- ☐ Sales commissions
- ☒ Replacement parts, tools, and supplies
- ☐ Market segmentation data

Correct!

That's correct!

4 / 4 pts

Question 9 1 / 1 pts

A company has an annual demand of 7,200 units, ordering cost of Rs. 50 per order, and holding cost of Rs. 8 per unit per year. What is the EOQ?

Correct!

- ☒ 300 units
- ☐ 250 units
- ☐ 400 units
- ☐ 360 units

That's correct!

Question 10 1 / 1 pts

Lead time demand in the ROP formula means:

Correct!

- ☒ Average demand during the lead time
- ☐ Maximum demand in a year
- ☐ Total annual demand
- ☐ Demand during a production shutdown

That's correct!

Question 11 1 / 1 pts

Which step comes immediately after demand planning in the S&OP process?

Correct!

- ☐ Gather and manage data
- ☐ Implementation
- ☐ Executive Sales & Operations meeting
- ☒ Production and supply planning

That's correct!

Question 12 1 / 1 pts

Lot size refers to:

Correct!

- ☐ The distance between two replenishment orders
- ☐ The number of machines in a production line
- ☒ The amount of a product ordered at one time
- ☐ The physical size of a warehouse

That's correct!

Question 13 1 / 1 pts

Which of the following is listed as a benefit of ROP?

Correct!

- ☒ Prevents stockouts
- ☐ Reduces product quality
- ☐ Eliminates demand uncertainty
- ☐ Increases setup costs

That's correct!

Question 14 1 / 1 pts

One assumption of the EOQ model is that:

- ☐ Lead time fluctuates frequently

Correct!

- ☐ Quantity discounts are always available
- ☒ The cost of ordering remains constant
- ☐ Demand is always seasonal

That's correct!

Question 15 1 / 1 pts

Which of the following is a need for inventory management?

Correct!

- ☒ Prevents stockouts
- ☐ Reduces customer contact
- ☐ Increases order frequency
- ☐ Raises storage costs

That's correct!

Question 16 1 / 1 pts

Partially completed goods are called:

Correct!

- ☒ Work in progress
- ☐ Finished goods
- ☐ Pipeline inventory
- ☐ Replacement stock

That's correct!

Question 17 1 / 1 pts

A company places 24 orders in a year of 288 working days. What is the average duration between orders?

Correct!

- ☐ 16 days
- ☐ 10 days
- ☒ 12 days
- ☐ 14 days

That's correct!

Question 18 1 / 1 pts

Which of the following is an EOQ assumption?

Correct!

- ☒ The model is calculated for only one product
- ☐ Multiple products are optimized together
- ☐ Purchase price changes with every order
- ☐ Replenishment is delayed intentionally

That's correct!

Question 19 1 / 1 pts

The reorder point (ROP) formula is:

Correct!

- ☐ $ROP = EOQ + \text{Carrying Cost}$
- ☒ $ROP = \text{Lead Time Demand} + \text{Safety Stock}$
- ☐ $ROP = \text{Annual Demand} / \text{Number of Orders}$
- ☐ $ROP = \text{Ordering Cost} + \text{Holding Cost}$

That's correct!

Question 20

1 / 1 pts

A product has an average daily demand of 40 units, lead time of 5 days, and safety stock of 30 units. What is the reorder point (ROP)?

Correct!

☒ 230 units

☐ 200 units

☐ 180 units

☐ 250 units

That's correct!

Quiz Score: 20 out of 20

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